

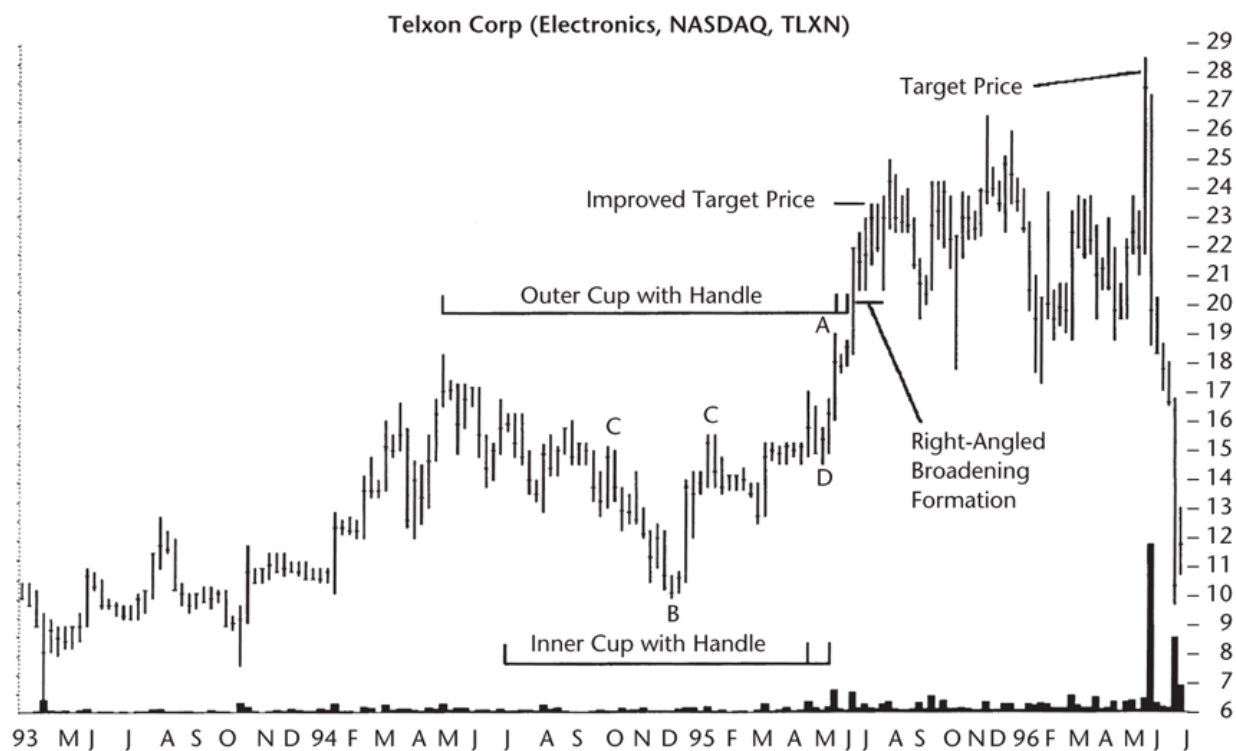


Figure 21.5 Here is an example of the measure rule in practice on the weekly scale. Trade the inner cup-with-handle formation for a better entry price.

Two weeks later, the stock was moving up. Cody placed his stop 15 cents below the handle low, at 14.38 (point D, which also marks the purchase point). When the stock climbed above the outer cup, he raised the stop to 17.50. Then he noticed a problem forming: a right-angled broadening top formation. “It was a bearish signal, so I raised my stop to just below the base at 20.25.”

Then he waited.

He got word that the stock was in trouble from his pals. They were not too happy with the company for some reason. When he pulled the stock up on his computer screen, he noticed that it had hit his stop in late August when price momentarily dipped. Cody whipped out his calculator and tallied up his gains. He made \$5 a share for a gain of over 30%. He chuckled to himself that next time he would use his paper profits to buy his girl something other than cubic zirconium.